

## AUSTRALIA 2012

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### Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

## **1. Overview of the tax-benefit system**

The Australian social security system is funded from general taxation revenue and not from employer or employee social security contributions. Duration of payment receipt is not time limited, with income support payments being paid subject to the continued meeting of eligibility criteria and means testing arrangements. Additional assistance is available for those paying rent in the private rental market and for families with dependent children, including assistance with child care costs.

The Australian income support system consists of various pensions and benefits, each with its own eligibility criteria and, where applicable, 'looking for work' or other 'activity' requirements relating to the reason claimants are unable or not expected to fully support themselves through paid work. For example, there are categories of payment for the aged, people with disability and their carers, primary carers of dependent children, the unemployed and full-time students. Income support payments do not include spousal assistance and partners of unemployment payment recipients must claim an income support payment, generally an unemployment or parenting payment, in their own right. Income support payments are both income and asset tested with regimes differing depending on whether a payment is classified as a 'pension' or 'benefit'. Unemployment and parenting payments for members of a couple are 'benefits', while the parenting payment for single parents is classified as a 'pension'. Unemployment-related and parenting payments and the Age Pension are taxable.

Most payments for families with dependent children are subject to income testing either on individual or parental income or the income of the 'second-earner'. Family and Rent Assistance payments are non-taxable. Paid Parental Leave scheme payments are taxable.

The information contained in this document is that required to calculate the social security entitlements and taxes for workforce age individuals and couples where one or both members are receiving an unemployment payment and for single parents receiving Parenting Payment.

### **1.1. Average Worker wage (AW)**

The 2012 AW level is AUD 73 494.<sup>1</sup>

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1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration ([www.oecd.org/ctp](http://www.oecd.org/ctp)). For more information on methodology see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3

## **2. Unemployment insurance**

There is no unemployment insurance.

## **3. Unemployment assistance**

Australia's unemployment payments are Newstart Allowance (NSA) and Youth Allowance (YA) (Other) for non-full-time students. Youth Allowance (Other) is generally paid to unemployed people aged 16 to 20 years and NSA is paid to unemployed people aged 21 or over and under Age Pension age (currently 65 for men and 64.5 for women rising to 65 in 2014).

All income support recipients need to establish an entitlement in their own right. For example, each member of a workforce age couple must either claim an unemployment payment or another income support payment, generally NSA or Parenting Payment (PP), in order to receive assistance. Parenting Payment is an income support payment available to lone parents and one member of a couple with the care of a dependent child aged under six for partnered recipients, aged under eight for single recipients, or aged under 16 if the person was in receipt of PP prior to 1 July 2006.

A child can only be a 'PP child' of one person.

Other income support payments to people of workforce age, though not specifically covered in this document include:

- Special Benefit, which is payable to people in severe financial need who have no other means of support and for whom no other income support payment is available. Special Benefit customers are activity tested if they would be required to meet the NSA or YA activity test had they otherwise qualified for that payment (for further information see Section 4);
- payments for full-time students, including YA (student), Austudy and payments under the ABSTUDY scheme; and
- payments for people with disability, their carers and wives of pensioners, including Disability Support Pension (DSP) and Carer Payment (CP).
- Sickness Allowance is a payment for people who are temporarily incapacitated and are unable to continue working. Widow Allowance is a payment for women born on or before 1 July 1955 if widowed, divorced or separated and without recent workforce experience. While no longer open to new claimants, Partner Allowance is a payment for people born on or before 1 July 1955 whose partner is receiving either a pension, allowance, Austudy or ABSTUDY. Wife Pension, a payment for partners of Age Pension and Disability Support Pension recipients, is generally closed to new entrants.

### **3.1 Conditions for receipt**

All income support payments are flat-rate in that they do not reflect prior work history or social security contributions; however, maximum rates of payment are dependent on age, partnered status, presence of dependent children, whether people are renting in the private rental market and, for YA recipients, whether they live with or are dependent on their parents. Maximum rates of payment are subject to personal and partner income testing with dependent Youth Allowees also subject to parental means testing arrangements.

- Social security benefits are not payable if assets exceed specified levels and newly arrived migrants must generally serve a two-year waiting period prior to receiving payment, except where individuals are given refugee or humanitarian status. Customers may also be subject to various other waiting periods. Some of these are outlined in Section 3.4.

To receive payment, an unemployed person (NSA or YA (Other) recipient) must be actively seeking suitable work or undertaking an activity to improve their employment prospects and must be available for, and willing to accept, suitable work, including part-time and casual employment. Early School Leavers, that is young people under 21 receiving YA (Other) without a Year 12 or a Certificate II qualification, must be participating in training or education or other suitable activities until they obtain Year 12 or equivalent qualification. This measure was implemented 1 July 2009 for new claimants of YA (Other) with existing claimants transitioned to the new requirements between 1 January and 30 June 2010. In certain circumstances, recipients may be exempted from meeting any or full activity test requirements (e.g. where they are temporarily incapacitated by injury or illness, personal crisis or caring duties).

Parenting Payment recipients, both single and partnered, granted on or after 1 July 2006 are required to look for part-time work of at least 15 hours per week or undertake 30 hours a fortnight in approved activities when their youngest child turns six. New PP recipients after 1 July 2006 will generally be transferred (if eligible) to NSA once their youngest child turns six (if partnered) or eight (if single).

Further information on PP (Single) for single parents is at Section 9.

Most benefits are income tested, however some social security benefits (such as unemployment and parenting payments) are not payable – or payable at a reduced rate – if assets exceed specified value limits. The asset value limits vary depending on whether the payment recipient is single or partnered and whether the person is a homeowner or non-homeowner. For partnered recipients, the asset test applies to the combined assets of the claimant/recipient and their partner. Lower limits apply to homeowners and reflect the fact that the value of the ‘principal home’ is exempt from the asset test. The asset value limits are indexed on 1 July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI). For 2011 – 12 the value limits are as follows:

- Single (for full pension or allowance): homeowner AUD186,750, non-homeowner AUD321,750
- Partnered (combined) (for full pension or allowance): homeowner AUD265,000, non-homeowner AUD400,000

Higher asset limits apply for eligibility to a part pension.

## **3.2 Calculation of benefit amount**

### **3.2.1 Calculation of gross benefit**

Basic payment rates for NSA, PP (Partnered) and YA (Other) from June 30 2012 are listed below. Supplementary payments, such as Commonwealth Rent Assistance (CRA) (see Section 5) and Pharmaceutical Allowance, may also be payable depending on the person’s circumstances. Payment rates are set, income tests operate and payments are made on a fortnightly basis. Maximum rates for NSA and RA are indexed in March and September each year to reflect changes in the broad cost of living as measured by the CPI. Maximum rates of YA (Other) are indexed to changes in the CPI in January each year.

Reference date for all information is **June 30th 2012**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

| Youth Allowance                                                                                                                      | (AUD fortnightly) | (AUD per month)** |
|--------------------------------------------------------------------------------------------------------------------------------------|-------------------|-------------------|
| Single, under 18, at home*                                                                                                           | 220.40            | 477.53            |
| Single, under 18, away from home                                                                                                     | 402.70            | 872.52            |
| Single, 18 and over, at home*                                                                                                        | 265.00            | 574.17            |
| Single, 18 and over, away from home                                                                                                  | 402.70            | 872.52            |
| Single, with dependent child(ren)                                                                                                    | 527.50            | 1142.92           |
| Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family) | 648.50            | 1405.08           |
| Partnered, no dependent child(ren) (each)                                                                                            | 402.70            | 872.52            |
| Partnered, with children (each)                                                                                                      | 442.10            | 957.88            |

  

| Newstart Allowance (NSA), Parenting Payment (partnered)                                                                              | (AUD fortnightly) | (AUD per month)** |
|--------------------------------------------------------------------------------------------------------------------------------------|-------------------|-------------------|
| Single, 21 and over, no children                                                                                                     | 489.70            | 1061.02           |
| Single, 21 and over, with dependent child(ren)                                                                                       | 529.80            | 1147.90           |
| Single, 60 and over, after 9 months on payment                                                                                       | 529.80            | 1147.90           |
| Partnered, over 21 (each)                                                                                                            | 442.00            | 957.67            |
| Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family) | 648.50            | 1405.08           |

\* Rent Assistance is unavailable where a young person receives an 'at home' rate of payment.

\*\*Payments are made fortnightly. Monthly rates are 26 times the fortnightly amount divided by 12.

Source for fortnightly rates: A Guide to Australian Government Payments.

### 3.2.1.1 *Irregular additional payments*

#### **Pensioner Education Supplement**

Pensioner Education Supplement (PES) is designed to help certain disadvantaged pensioner groups, such as single parents and people with disability with the costs of study. Assistance is provided over a defined period to help recipients to gain an initial qualification, up to a postgraduate level, that would make them competitive in the labour market. Pensioner Education Supplement is paid fortnightly at a full-rate of AUD62.40 or part-rate of AUD31.20 per fortnight (pf) depending upon the amount of study undertaken and their individual capacity to undertake study.

#### **Education Entry Payment**

The Education Entry Payment (EdEP) is designed to provide an incentive for eligible recipients (NSA, PP,) to improve their skills and qualifications through education by helping to offset the costs of incidental expenses such as books and fees. Education Entry Payment is payable once per annum as a lump-sum of AUD208.00.

#### **Language Literacy and Numeracy Supplement**

The Language, Literacy and Numeracy Program (LLNP) seeks to improve participants' language, literacy and/or numeracy, with the expectation that such improvements will enable them to

participate more effectively in training or in the labour force. Recipients of approved LLNP are eligible for a supplement of AUD20.80 pf.

### **Training Supplement**

The Training Supplement is a temporary payment of AUD41.60 pf for recipients of NSA and PP. The supplement was introduced a response to the global recession to encourage jobseekers vulnerable to long term unemployment, to undertake training to ensure they are properly skilled when the economy commences recovery. The Training Supplement is paid for approved study commenced between 1 July 2009 and 30 June 2011.

### **Approved Program of Work Supplement**

Job seekers undertaking Work for the Dole, Green Jobs Corps and Community Development Employment Project activities are paid a supplement of AUD20.80 pf.

### **National Green Job Corps Supplement**

National Green Jobs Corps is a two year time-limited measure that assists young jobseekers. The 26-week environmental training program offers young people, aged 17 to 24 years, a combination of work experience, skill development and accredited training to ensure they are ready for employment in emerging green and climate change industries. National Green Jobs Corps commenced on 1 January 2010. Participants in the program are eligible for a fortnightly supplement to their income support payment of AUD20.80 for the duration of their participation in the program.

### **Mobility Allowance**

The purpose of Mobility Allowance (MOB) is to assist with transport costs for people with disability who are unable to use public transport without substantial assistance. In conjunction with the Welfare to Work changes to encourage income support recipients to participate in the workforce to their capacity, a higher rate of MOB was introduced on 1 July 2006. The higher rate of AUD120.40 pf is paid to recipients of NSA, YA, DSP or PP who are either working or looking for work of 15 hours or more per week. The basic rate of AUD86.00 pf is paid for eligible recipients undertaking 32 hours in every four weeks of paid or voluntary work.

### **Carer Supplement**

An annual AUD600.00 Carer Supplement is paid to recipients of Carer Allowance for each person they care for and an additional AUD600.00 Carer Supplement is paid to recipients of Carer Payment. To qualify the carer must be in receipt of CA and / or CP for the payment period that covers 1 July.

### **Child Disability Assistance Payment**

The Child Disability Assistance Payment consists of a AUD1000 annual payment made for a child with disability under 16 years who attracts a payment of CA for their carer.

#### **3.2.1.2 Obligations of family members**

In the Australian social security system, payments are based on individual entitlement therefore payments for couples are determined individually. The interactions of the income and asset tests mean that earnings by one member of the couple can reduce, or extinguish, the rate of payment of the other member

of the couple where a threshold limit is met. While there are no direct implications to the individual's entitlement if the spouse failed to meet eligibility requirements, the spouse would not receive income support. As shown in 3.2.1, payments to individual members of a couple are determined at a reduced rate.

### **3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job***

Benefit receipt and rates of payment are determined by the operation of income and assets tests. Income for the purposes of income support income tests is 'ordinary income'. This concept differs to that used for taxation and family assistance purposes. 'Ordinary income' includes employment, financial investment income and various other sources of income not considered taxable income. Ordinary income excludes child maintenance income and other social security payments. Income is generally assessed in the first fortnight it is earned, derived or received.

The personal income test for unemployment payment recipients (NSA and YA (Other)) and PP (Partnered) has an income disregard or "free area" of AUD62.00 per fortnight. Each dollar of income above AUD62 and up to AUD250.00 reduces the rate of payment by 50 cents. Thereafter the withdrawal rate for payments is 60 cents in the dollar.

Where both members of a couple receive an allowance (NSA or PP (Partnered)) and one recipient's rate is reduced to zero by the personal income test (when personal income exceeds AUD830.00 pf for NSA recipients) the partner remaining on income support will have their payment reduced by 60 cents for each dollar of partner income in excess of that amount.

Youth Allowance for dependent young people is subject to the personal income test and parental means testing arrangements that include parental income and family asset tests.

A person's rate of payment may also be affected by the operation of 'Working Credit'. Working Credit allows customers to build up a 'credit' of up to AUD48.00 of their unused income disregard (or free area) per fortnight (up to a maximum of AUD1000). A participant's Working Credit 'balance' can be used to increase the amount they can earn before their income support payment is reduced. For example, a social security beneficiary who is also a Working Credit scheme participant with a Working Credit 'balance' of AUD200.00 can earn AUD262.00 for a given fortnight (i.e. the amount of the participant's Working Credit 'balance' plus the fortnightly ordinary income free area for social security beneficiaries covered by the Working Credit scheme) before their payment starts to reduce for that fortnight.

If a person receives leave entitlements from their previous employment, including annual leave, long service leave, sick leave and maternity leave, they may have to serve an 'income maintenance period' during which these entitlements are treated as income. The income maintenance period is equal to the leave period to which the leave payment entitlement relates.

### **3.3 *Tax treatment of benefit and interaction with other benefits***

New Start Allowance and YA are taxable payments; however a tax rebate (or tax offset) operates so that a person in receipt of an income support payment for the entire income tax year does not pay tax on that payment.  
(see part 10.1.1.)

### **3.4 Benefit duration and waiting periods**

While there are no restrictions on the duration of unemployment payments, and recipients can re-apply for benefits after periods of ineligibility, recipients may be required to serve a waiting period, or periods, prior to payments commencing to be paid if they do not meet various hardship or waiver criteria. Waiting periods may apply in the following circumstances:

- A one-week waiting period for NSA may apply after lodgement of an application form.
- A 'liquid asset waiting period' may apply if a person has liquid assets beyond a set level on the day they or their partner become unemployed or incapacitated, or on the day the person lodged their claim. The maximum waiting period is 13 weeks. Liquid assets include cash, shares and debentures, and bank (including term) deposits. In the context of the global recession the threshold of the qualifying limits for liquid assets were temporarily doubled (AUD5500 for singles and AUD11,000 for couples or singles with dependents) for the period 1 April 2009 to 31 March 2011. After 31 March 2011 the threshold was reduced to AUD3000 for singles and AUD6000 for couples.
- A 'seasonal work preclusion period' will generally apply if a person or their partner is engaged in high- income seasonal work in the six months prior to claim.
- A person who reduces their likelihood of getting a job without sufficient reason by relocating to an area with lower employment prospects will have to wait up to 26 weeks before receiving payment.
- A participation payment is not payable to a person for 8 weeks if that person became unemployed due to a voluntary act or because of misconduct. However, the preclusion period does not apply if the voluntary act was reasonable or if the work was unsuitable for the person.
- Under the *Connecting People with Jobs* pilot the non-payment period will increase by 50 per cent to 12 weeks for job seekers participating in the pilot who leave employment within the first 6 months due to a voluntary act or misconduct
- Newly Arrived Resident's Waiting Period (NARWP) – New Australian residents granted permanent residence are subject to the NARWP of 104 weeks with the exception of Widow Allowance, PP and Carer Allowance.

### **3.5 Treatment of particular groups**

#### **3.5.1 Young persons**

The YA rate structure differs to adult income support. Rates for single and partnered young people without children are lower than equivalent adult rates and the rates structure further differentiates between young people living 'at home' or 'away from home' and, if they live 'at home', whether they are under or over the age of 18. The payment has a higher income disregard (or free area) for full-time students.

Youth Allowance has parental means testing arrangements for young people who have not met specified independence criteria. Parental income and asset testing does not apply where a parent receives an income support payment.

Youth Allowance activity test arrangements promote the attainment of Year 12 or equivalent qualification as a primary aim (if the young person does not have that level of education) and allow young people to combine elements of study and work to a greater degree than NSA.

### 3.5.2 *Older workers*

Partner Allowance is payable to partners of income support recipients who have no recent workforce experience and who were born on or before 1 July 1955. From 20 September 2003, Partner Allowance is generally closed to new entrants.

Widow Allowance is payable to women with no recent workforce experience who were widowed, divorced or separated since turning 40 years of age and born on or before 1 July 1955.

Single allowees aged 60 or over are eligible for a higher rate of payment after receiving income support for 9 continuous months.

### 3.5.3 *Others if applicable*

Single parents with a dependent child aged under 8 years of age generally do not claim unemployment benefits (such as NSA or YA) as they may qualify for PP (Single). Parenting Payment (Single) has a higher maximum rate of payment and income test free area, a lower withdrawal rate and limited participation requirements (see Section 9). It is possible for single people receiving unemployment benefits to have substantial responsibility for a dependent child, for example, parents with shared care of children (as a dependent child can only be the 'PP child' of one person at a time) or care of a dependent child aged 8 years or older. In these instances, a higher rate of unemployment benefit may be paid (see Section 3.2).

### 3.5.4 *Disability and Carers*

DSP is a payment for people with a permanent physical, intellectual or psychiatric impairment which attracts at least 20 points under the Impairment Tables and prevents them from working 15 hours or more a week, or from being re-skilled for work for the next two years; or are permanently blind.

A claimant must also be aged 16 years or more but under age pension age when claiming DSP and residence rules (generally ten years) apply.

CP provides income support to carers who because of the demands of their caring role are unable to support themselves through substantial paid employment. There are two streams of payment. For carers of children with disability or medical condition under 16 years of age there is a child stream. For carers of a person with disability or medical condition aged 16 years and over there is an adult stream.

Carer Allowance is an income supplement which is not taxable or income and assets tested. It is available to carers who provide daily carer and attention in a private home to a person with disability or medical condition. Carer Allowance can be paid in addition to a social security income support payment.

#### 3.5.4.2 Calculation of gross benefit

DSP and CP are subject to income and asset testing arrangements. DSP is not subject to parent's income and assets. For 2011-12, the income limits are:

- Single (for full pension): up to AUD150.00 per fortnight;
- Partnered (combined) (for full pension): up to AUD264.00 per fortnight

Higher income limits apply for eligibility to a part pension.

For 2011 – 12 the asset limits are as follows:

- Single (for full pension or allowance): homeowner AUD 186,750, non-homeowner AUD321,750
- Partnered (combined) (for full pension or allowance): homeowner AUD265,000, non-homeowner AUD 400,000

Higher asset limits apply for eligibility to a part pension. DSP recipients who are permanently blind are not income and asset tested unless they are claiming Rent Assistance. These pensioners may, however, be affected by the special arrangements for compensation payments which may reduce the payment rate or result in a non-payment period.

#### 3.5.4.2.2 Irregular additional payments

Recipients of DSP may also be entitled to Mobility Allowance, an Education Entry Supplement, the Pensioners Education Supplement, Language, Literacy and Numeracy Supplement and National Green Corps Supplement. These payments are detailed at section 3.2.1.1.

Recipients of CP may also be entitled to the annual Carer Supplement. Recipients of CA may also be entitled to the annual Carer Supplement (as noted above) and the annual Child Disability Assistance Payment. These payments are also detailed at section 3.2.1.1.

#### 3.5.4.2.3 Income and earnings disregards for benefit recipients and those starting a new job

Rates of payments are calculated under both the income and assets tests and the test that results in the lower rate (or nil rate) will apply. Income over the free areas (AUD150.00 for singles and AUD264.00) for couples (combined) reduces the amount of pension payable by 50 cents in the dollar.

Employment income is subject to a Work Bonus for eligible pensioners over age pension age. The Work Bonus is a concession on the income test treatment of employment income and is used to reduce assessable employment income in an instalment period, which is a maximum of 14 days.

A person's rate of payment may also be affected by the operation of 'Working Credit', which is detailed at section 3.2.2.

#### 3.5.4.3 Tax treatment of benefit and interaction with other benefits

DSP and CP are non-taxable for people of workforce age and taxable for people who have reached age pension age

#### 3.5.4.4 Benefit duration and waiting periods

A person must be residually qualified for DSP and CP, or have served or are exempt from serving the qualifying residence period - which is ten years qualifying Australian residence.

To ensure claimants use their existing means of support before accessing DSP and CP, receipt of payments can be affected by:

- a Compensation Preclusion Period – lump sum compensation periods may mean there is a period of time during which DSP is not payable to a person (a preclusion period);

- an Income Maintenance Period<sup>2</sup> – where leave and redundancy payments received upon cessation of employment are treated as income; and
- a seasonal work preclusion period<sup>3</sup> – which applies to customers or partners who have been engaged in high income seasonal, intermittent or contract work in the six months prior to claiming.

DSP and CP may be paid for up to 13 weeks of an absence outside Australia. In some cases DSP can be paid indefinitely if the person is terminally ill and leaving Australia permanently.<sup>4</sup>

### 3.5.4.5 Treatment of particular groups

#### 3.5.4.5.1 Young persons

DSP for people aged under 21 and without children includes a fortnightly Youth Disability Supplement (YDS) of AUD114.00. YDS is also paid to YA recipients aged under 21 who have been assessed as having a partial capacity to work. YDS is added to the rate of YA and the rate payable cannot exceed the rate payable to those over 21 on NSA.

#### 3.5.4.5.2 *People who are permanently blind.*

People who are permanently blind do not have their work capacity assessed for DSP purposes. They also receive DSP free of income or asset testing arrangements (unless they are claiming Rent Assistance).

Information on DSP policy changes is at Section 12.

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<sup>2</sup> Hardship provisions are in place so an individual would not be put in severe financial hardship if they have to spend money on unavoidable or reasonable expenditure.

<sup>3</sup> The Seasonal Work Preclusion Period can be waived in part or in full if someone is in severe financial hardship if they have to spend money on unavoidable or reasonable expenditure.

<sup>4</sup> In addition, from 1 July 2012, DSP can also be paid indefinitely to a person who has a severe impairment and no future work capacity. Then from 1 January 2013, the existing 13 week portable payment period will be reduced to six weeks.

#### **4. Social assistance**

In the Australian social security system Special Benefit serves as a benefit of last resort. It is paid to people in severe financial hardship, who have no other means of support and for whom no other benefit is available. For long-term cases, Special Benefit is not payable when the available funds and liquid assets of the person are more than AUD5000. In cases of shorter-term need, the benefit is not payable if readily available funds exceed two weeks' Special Benefit plus family assistance payments. Payment rates are at the discretion of the Secretary of the Australian Government Department of Families, Housing, Community Services and Indigenous Affairs, but cannot exceed the maximum NSA or YA payment rates otherwise applicable to the person. The benefit is income tested against all income with no income test free area and a withdrawal rate of 100 cents in the dollar. Any amount of regular in-kind support, such as the provision of board and lodging, also reduces the rate of payment.

##### **4.1 Conditions for receipt**

Special Benefit is not payable if assets exceed specified levels (see NSA and YA asset test limits in section 3.1) and newly arrived migrants must generally serve a two-year waiting period prior to receiving payment, except where individuals are given refugee or humanitarian status or can demonstrate that a substantial change in circumstances beyond their control has occurred and that they are in severe hardship because of this change.

People receiving Special Benefit who are considered capable of working are expected to look for work and accept offers of suitable employment. People holding certain temporary protection visas who were granted Special Benefit after 1 January 2003, or who became of working age after this date, are subject to an activity test similar to that applying to job seekers receiving NSA and YA.

##### **4.2 Calculation of benefit amount**

###### **4.2.1 Calculation of gross benefit**

The rate of Special Benefit is discretionary; however, the maximum rate cannot exceed the rate of NSA or YA that the person would otherwise receive if they were eligible. A direct deduction income test applies to Special Benefit. This means that all personal income, whether earned or unearned, reduces the Special Benefit rate by that amount. There is no allowable income free area and no taper.

If a person receives in kind support on a regular basis, the value of the support is deducted from the rate after the income test is applied. In kind support includes payment of bills, provision of food and clothing and free board and/or lodging.

###### **4.2.1.1 Irregular additional payments**

N/A

###### **4.2.1.2 Obligations of family members**

N/A

###### **4.2.2 Income and earnings disregards for benefit recipients and those starting a new job**

N/A

#### **4.3      *Tax treatment of benefit and interaction with other benefits***

Special Benefit is a taxable payment.

#### **4.4      *Benefit duration and waiting periods***

Special Benefit is generally granted for periods of 13 weeks. An entitlement review is conducted every 13 weeks to determine whether payment should continue. Special Benefit can be cancelled at any time.

People holding certain temporary protection visas who were granted Special Benefit after 1 January 2003, or who became of working age after this date, are subject to an activity test similar to that applying to job seekers receiving NSA and YA. These people are subject to:

- a 'seasonal work preclusion period' if they or their partner were engaged in high- income seasonal work in the six months prior to claim, and
- a 26-week wait before receiving payment if they reduce their likelihood of getting a job without sufficient reason by relocating to an area with lower employment prospects.

#### **4.5      *Treatment of particular group***

##### **4.5.1      *Young persons***

N/A

##### **4.5.2      *Older workers***

N/A

##### **4.5.3      *Others if applicable***

## 5. Housing benefits for rented accommodation

Housing assistance exists in two main forms: Commonwealth Rent Assistance (CRA) and public housing provided by state and territory governments with financial assistance from the Australian Government.

### 5.1 Conditions for receipt

Commonwealth Rent Assistance is a non-taxable income supplement paid to eligible individuals and families who rent in the private rental market and community housing. Commonwealth Rent Assistance is paid to eligible recipients of social security pensions and benefits and those receiving more than the minimum rate of FTB Part A.

State and territory governments provide public and community housing to households subject to various eligibility criteria and housing stock availability. The Australian Government provides financial support for this through a joint Commonwealth-State *National Affordable Housing Agreement*.

### 5.2 Calculation of benefit amount

#### 5.2.1 Calculation of gross benefit

Commonwealth Rent Assistance is paid at the rate of 75 cents for every dollar of rent paid above the specified minimum rent threshold until the maximum rate of CRA is reached. The Maximum rates and minimum rent thresholds vary according to a person's family situation, i.e. single or couple and the number of children they have and, for singles without children, whether accommodation is shared with other adults. Rent thresholds and maximum rates are indexed in March and September each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI).

#### Commonwealth Rent Assistance

20 March to 30 June 2012 rates (in AUD)

| Family situation            | Maximum payment per fortnight | No payment if fortnightly rent is less than | Maximum payment if fortnightly rent is more than |
|-----------------------------|-------------------------------|---------------------------------------------|--------------------------------------------------|
| Single, no children         | 120.20                        | 106.80                                      | 267.07                                           |
| Single, no children, sharer | 80.13                         | 106.80                                      | 213.64                                           |
| Couple, no children*        | 113.20                        | 173.80                                      | 324.73                                           |
| Single, 1 or 2 children     | 140.98                        | 140.56                                      | 328.53                                           |
| Couple, 1 or 2 children     | 140.98                        | 208.04                                      | 396.01                                           |
| Single, 3 or more children  | 159.46                        | 140.56                                      | 353.17                                           |
| Couple, 3 or more children  | 159.46                        | 208.04                                      | 420.65                                           |

Source: A guide to Australian Government payments.

\*Other rates of payment are available for couples separated due to illness or temporarily separated.

#### 5.2.2 Income and earnings disregards

For families with at least one 'Family Tax Benefit child' aged under 16 years or a secondary student aged 16 to 19 years, CRA forms part of the maximum rate of Family Tax Benefit Part A for income testing purposes (see Section 6.2). Otherwise, CRA is paid as part of the maximum rate of adult income support and is subject to the relevant payment's income test regime (see Section 3.2).

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Public housing rents and rebate structures are set and operated by state and territory governments at levels that ensure that tenants pay no more than between 20-25 per cent of their net income in housing costs. Net income for public rent purposes generally includes adult income support payments and some or all of Family Tax Benefit.

5.2.3 *Costs eligible for housing benefits*

5.3 ***Tax treatment of benefit and interaction with other benefits***

Commonwealth Rent Assistance is not taxable.

## 6. Family benefits

Family Tax Benefit Part A (FTB Part A) is provided to families with children, subject to a family income test, and includes additional supplements for large families and multiple births. Family Tax Benefit Part B (FTB Part B) is paid to families with one main income, including single parents.

Family Tax Benefit is paid directly by Centrelink and can be received either fortnightly, based on an estimate of 'adjusted taxable income', or as a lump sum after the end of the financial year, when final taxable income is known. An end of year supplement is available for FTB Part A and FTB Part B when payments are reconciled following the lodgement of tax returns. Payments may also be reconciled using an income assessment by Centrelink if a family does not need to lodge a tax return.

The Paid Parental Leave scheme supports working parents to take time off work to care for a newborn or recently adopted child. A new parent (usually the birth mother) may be eligible for up to 18 weeks of Parental Leave Pay at the rate of the national minimum wage. The Government-funded payment is paid by employers to their eligible long-term employees or by Centrelink directly to other eligible parents including the self-employed.

Baby bonus provides financial support to new parents to assist with the set-up costs of having a baby or adopting a child. Baby Bonus is paid in 13 fortnightly instalments. Parental Leave Pay and Baby Bonus cannot be paid for the same child. Families who are eligible for both payments may choose the payment that is right for them.

Other, non-means tested, family payments include Double Orphan Pension (DOP) and Maternity Immunisation Allowance (MIA). DOP is a fortnightly payment of AUD57.20 available for carers of children who are orphaned or who have one parent deceased and the whereabouts of the other parent is unknown, or the other parent is in prison for at least ten years, or the other parent is a patient of a psychiatric hospital or nursing home indefinitely. The full amount of MIA is AUD258.00. The first amount of AUD129.00 is payable when the child is immunised between 18 and 24 months of age, The second amount may be slightly higher than AUD129.00 due to indexation and is payable when the child is immunised between 4 and 5 years of age. The Baby Bonus is a payment of AUD5437 for each baby born (or adopted) and is paid in 13 fortnightly instalments.

### 6.1 Conditions for receipt

Family Tax Benefit payments are for the parents or guardians of dependent children and are paid subject to income testing and residence requirements.

- To receive FTB Part A, a family must have a dependent aged under 22.
- A person is not a qualifying child for FTB purposes if:
  - they receive an income support payment in their own right, for example Youth Allowance (see Section 3),
  - they are aged 16 to 19 years, are earning AUD13,361 or more during the income year and they are not in full-time secondary study.
- To receive FTB Part B, a family must have an 'FTB child' aged under 16 years, or a dependent full-time student up to the age of 18.

In cases where the care of a child is shared between two (or more) adults who are not members of the same couple, the 'per child' rate of FTB Part A for the child can be 'shared' between the adults based on the percentage of care provided to the child by each adult (so long as an adult's percentage of care provided to the child is equal to or in excess of 35 per cent).

To receive Parental Leave Pay, a parent may be eligible if they:

- are the primary carer of a newborn or recently adopted child, usually the mother
- have met the Paid Parental Leave work test before the birth or adoption occurs, which means they have worked for at least 10 of the 13 months prior to the birth or adoption of their child, and worked for at least 330 hours in that 10 month period, with no more than an eight week gap between consecutive working days
- have received an individual adjusted taxable income of AUD150,000 or less in the financial year prior to the date of birth or adoption, and
- are on leave or not working from the time the parent becomes the child's primary carer until the end of their Paid Parental Leave period.

To receive Baby Bonus, a person must:

- have a dependent child who entered their care within 26 weeks of the child's birth or adoption;
- have a family income of AUD75,000 or less in the six months following the birth or adoption; and
- claim the payment within one year of the child's birth or entry into care.

## **6.2 Calculation of benefit amount**

The amount of Family Tax Benefit families receive varies according to the number, ages and personal circumstances of the children, and the personal circumstances and income of parents.

Eligible working parents will receive Parental Leave Pay at the rate of the National Minimum Wage, AUD589.40 a week before tax, for a period of up to 18 weeks.

Eligible Baby Bonus recipients will receive a payment of AUD5437 for each child, paid in 13 fortnightly instalments. A higher amount of AUD879.77 is paid in the first instalment, followed by 12 instalments of AUD379.77.

### **6.2.1 Calculation of gross benefit**

The maximum rate of FTB Part A comprises a rate paid for each dependent child, the Large Family Supplement for families with three or more children and Multiple Birth Allowance for families with children with triplets or quadruplets aged under 16 years (or 18 years if in full-time secondary study). For private renters, maximum rates of FTB Part A also include Rent Assistance (RA), calculated as outlined in Section 5. Family Tax Benefit Part A is also available at a lower per child 'base rate' of payment that is subject to an income test with a higher income disregard. The base rate of payment for a family is calculated as the sum of the base rates for all FTB children and may also include Large Family Supplement and Multiple Birth Allowance.

Family Tax Benefit Part B is a family-based payment where the maximum rate of payment is based on the age of the youngest child. The 2011 – 12 maximum rates of FTB are outlined in the following tables. The fortnightly rates of FTB Part A and FTB Part B exclude the 'per child' FTB Part A supplement and the 'per income unit' FTB Part B supplement, as the supplements can only be paid after the end of the income year

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when family income can be fully assessed. FTB rates of payment are indexed on 1 July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index.

#### 2011-12 rates (AUD)

##### Family Tax Benefit Part A

|                                                                                                                                                                                                  | Fortnightly rate                            | Yearly rate*                                    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------|-------------------------------------------------|
| Child under 13                                                                                                                                                                                   | 164.64                                      | 5,018.75                                        |
| Child 13-15                                                                                                                                                                                      | 214.06                                      | 6,307.20                                        |
| Child 16-17                                                                                                                                                                                      | 52.64                                       | 6,307.20                                        |
| Child 18-24                                                                                                                                                                                      | 70.56                                       | 2,565.95                                        |
| Large Family Supplement (for third and subsequent children)                                                                                                                                      | 11.34                                       | 295.65                                          |
| Multiple Birth Allowance (payable until the children are 16 years of age, or if at least three of the children are in full-time study, until the end of the calendar year in which they turn 18) | 136.64 (triplets)<br>182.00 (quads or more) | 3,562.40 (triplets)<br>4,745.00 (quads or more) |
| Base rate, child under 18                                                                                                                                                                        | 52.64                                       | 2,098.75                                        |
| Base rate, child 18-24                                                                                                                                                                           | 70.56                                       | 2,565.95                                        |

\*FTB Part A per year figures include the FTB Part A Supplement (AUD 726.35 per child for the 2011 – 12 financial year) but the fortnightly figures do not.

##### Family Tax Benefit Part B

| Age of youngest child                                   | Fortnightly rate | Yearly rate* |
|---------------------------------------------------------|------------------|--------------|
| Under 5 years                                           | 140.00           | 4,004.05     |
| 5 - 15 years, (or 16 - 18 years if a full-time student) | 97.58            | 2,898.10     |

\*The FTB Part B yearly figures include the FTB Part B Supplement of AUD 354.05 per year but the fortnightly figures do not. OK

Source: A guide to Australian Government payments.

#### 6.2.1.1 Irregular additional payments

From May 2012 a clean energy advance payment of up to AUD110.00 was made to FTB Part A recipients to assist families with the impacts of carbon pricing on living expenses introduced on 1 July 2012. Recipients of FTB Part B received up to AUD69.00 per family. From 1 July 2013 this assistance will be provided through a supplement to both FTB Part A and Part B. This item is not included in the modelling because it relates to compensation for the 2012-13 year, even if it is paid in 2011-12.

#### 6.2.2 Income and earnings disregards

FTB Part A and its components (Rent Assistance, Multiple Birth Allowance and Large Family Supplement) are income tested. Income for the purposes of FTB income tests is 'adjusted taxable income' (ATI) and includes taxable income (including taxable income support payments), target foreign income, certain employer provided fringe benefits, certain tax-free pensions or benefits, reportable superannuation contributions and total net rental property losses, minus any child support paid. Child support or maintenance income is subject to a separate income test. FTB Part A is subject to a family income test and

the maintenance income test (MIT). 'Family income' is the ATI of the parent claiming payment and their partner.

- The family income test does not apply to those who receive, or whose partners receive, an income support payment such as a social security pension or benefit, or a Department of Veterans' Affairs service pension.
- The family income test does not apply to families with income below AUD46,355.
- Each dollar of family income above AUD46,355 reduces the maximum rate of FTB Part A by 20 cents in the dollar. The payment rate is calculated using this income test until the rate is reduced to the base (or minimum) rate of FTB Part A for the family.
- The base rate of FTB Part A is available until family income reaches AUD94,316 per year (plus AUD3796 for each FTB child after the first). FTB Part A is then reduced by 30 cents for every dollar over that amount until the payment reaches nil.
- Maintenance income above specified income disregards (or free areas) reduces the more-than-minimum rate of FTB Part A (including Rent Assistance) by 50 cents in the dollar until the base rate of FTB Part A for the family is reached. Income limit beyond which only base rate of Family Tax Benefit Part A is paid (In AUD per year).

| Number of children 0-12 years | Number of Children 13-15 years |         |         |         |
|-------------------------------|--------------------------------|---------|---------|---------|
|                               | None                           | One     | Two     | Three   |
| None                          |                                | 67,398  | 88,440  | 109,482 |
| One                           | 60,955                         | 81,998  | 103,040 | 124,082 |
| Two                           | 75,555                         | 96,598  | 117,640 | 138,682 |
| Three                         | 90,155                         | 111,198 | 132,240 | 153,282 |

Note: The income limit is higher if the claimant is eligible for Rent Assistance.

**Income limit at which Family Tax Benefit Part A stops\* (In AUD per year)**

| Number of children 0-17 years | Number of Children 18-24 years |          |          |          |
|-------------------------------|--------------------------------|----------|----------|----------|
|                               | None                           | One      | Two      | Three    |
| None                          |                                | 102,870  | 115,219  | 128,553  |
| One                           | 101,312                        | 113,661  | 126,996  | 140,331  |
| Two                           | 112,104                        | 125,439  | 138,773  | 152,108  |
| Three                         | ^123,881                       | ^137,216 | ^150,551 | ^163,885 |

\* Income limits include the effect of the 'per child' AUD 726.35 per year FTB Part A supplement. Families with income approaching these amounts may only be paid FTB Part A at the end of the income year and not as fortnightly payments. The income limit is higher if the claimant is eligible for Multiple Birth Allowance.

Source: A Guide to Australian Government payments.

Family Tax Benefit Part B in couple families has two income tests. Eligibility is restricted to families where the primary income earner earns less than AUD150,000. An income test on the 'second' or lower income earner determines the FTB Part B amount. Single parents automatically receive the maximum amount if they earn less than AUD150,000. For second earners every dollar of income (including income support payments) above AUD4891 a year reduces payment by 20 cents in the dollar. A second earner can still get some FTB Part B if their income is below\*:

- AUD24,912 a year if their youngest FTB child is under 5 years of age; or

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- AUD19,382 a year if their youngest FTB child is between 5 and 18 years of age inclusive.

\*Income limits include the FTB Part B Supplement of AUD354.05 per year that can only be paid after the end of the income year. OK

Family Tax Benefit income test thresholds are indexed in July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index.

### **6.3 Tax treatment of benefit and interaction with other benefits**

Family Tax Benefits are not taxable.

Parental Leave Pay is taxable, and the employer or Centrelink will withhold Pay As You Go tax withholdings at their usual rate. Parental Leave Pay counts as income for other family payments but does not count as income for income support payments such as Parenting Payment.

Baby Bonus is not taxable and does not count as income for other family payments or income support payments.

Parental Leave Pay and Baby Bonus cannot be paid for the same child. If parents meet the eligibility criteria for both payments, they can choose which payment to receive. Most eligible parents will be better off receiving Parental Leave Pay rather than Baby Bonus.

If parents choose to receive Parental Leave Pay, they will not be eligible for Family Tax Benefit Part B and the dependent spouse, child housekeeper and housekeeper tax offsets during the 18 week Paid Parental Leave period.

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## 7. Childcare for pre-school children

Proportion (%) of Australian population using ‘approved’ child care in June 2011, by type of child care and age of child

| Ages                    | Before and After School Care | Centre Based Long Day Care | Family Day Care | Occasional Care | Total |
|-------------------------|------------------------------|----------------------------|-----------------|-----------------|-------|
| 0-4 years of age        | 0                            | 31                         | 4               | 2               | 37%   |
| 5-11 years of age       | 13                           | 1                          | 1               | 0               | 15%   |
| All children 0-11 years | 8                            | 14                         | 2               | 1               | 24%   |

Note: Children aged over 11 years have been excluded from this analysis.

Source: ABS, Childhood Education and Care, Australia, June 2011, Catalogue number 4402.055003DO010\_201106

### *School Starting Age*

Compulsory and minimum school starting ages are determined in each Australian State and Territory. Variations between the States and Territories regarding school starting ages and the nomenclature used in respect of the first year of compulsory schooling are detailed below.

| STATE | NOMENCLATURE | MINIMUM STARTING AGE                                               | COMPULSORY STARTING AGE                                                |
|-------|--------------|--------------------------------------------------------------------|------------------------------------------------------------------------|
| NSW   | Kindergarten | 5 by 31 July in year of entry                                      | 6                                                                      |
| VIC   | Preparatory  | 5 by 30 April in year of entry                                     | 6                                                                      |
| QLD   | Preparatory  | 5 by 30 June in year of entry                                      | 6                                                                      |
| WA    | Kindergarten | 4 by 30 June in year of entry                                      | From the beginning of the year that the child turns 6 yrs and 6 months |
| SA    | Reception    | At the beginning of the term after they turn 5 (continuous intake) | 6                                                                      |
| TAS   | Kindergarten | 4 by 1 January in year of entry                                    | 5 by 1 January in year of entry                                        |
| NT    | Preparatory  | 5 by 30 June in year of entry                                      | 6                                                                      |
| ACT   | Kindergarten | 5 by 30 April in year of entry                                     | 6                                                                      |

### 7.1 *Out-of-pocket childcare fees paid by parents*

The Australian Government does not set or regulate the fees that parents are charged by individual child care services. Variation in costs occurs as a result of factors including State and Territory licensing requirements, award wages, and whether fees include charges for additional services such as nappies and meals.

Child care fees are not tax deductible, and are not taken into account when assessing entitlements for other benefits. A means tested fee subsidy, Child Care Benefit (CCB), is payable to eligible parents using CCB approved care. The rate of CCB depends on a number of factors. See Section 7.2.2.1 below.

In addition to CCB, the Australian Government provides the Child Care Rebate (CCR), which is not means tested. The CCR covers 50 per cent of the family's out-of-pocket child care costs (after the CCB entitlement is deducted) for CCB approved child where the parents meet the work, training, or study test at some time during a week or have an exemption, up to an annual cap per child per year. The annual cap for CCR payable for child care costs incurred in 2011 - 12 is AUD7500 per child per year.

### ***Full-time care***

The median full-time long day care fee for centre-based care in 2011-12 was \$340.78 (Source: Report on Government Services 2013).

## **7.2 *Child Care Benefit***

The Australian Government provides fee assistance with the cost of child care by way of Child Care Benefit (CCB). Families using child care provided by CCB approved child care services or registered carers may receive CCB. CCB approved child care services include most long day care, family day care, outside school hours care, vacation care, occasional care and in home care. Registered care is care for work-related purposes that are provided by relatives, friends or nannies registered as carers with the Department of Human Services.

Families using CCB approved child care services can either elect for their child care service to receive CCB on their behalf, which reduces the amount of up-front fees the family pays, or claim CCB as a lump sum at the end of the financial year. Families using registered care can access CCB at the registered care rate from the Department of Human Services upon presentation of child care fee receipts and a claim form. Eligible families using CCB approved care can access greater rates of CCB than families using registered care.

### **7.2.1 *Conditions for receipt***

Families using CCB approved care are eligible for CCB for up to 24 hours per child per week without having to meet the work, training study test. Families where both parents are (or a single parent is) working, training, studying, looking for work at least 15 hours a week or 30 hours a fortnight or have an exemption may be eligible for CCB for CCB approved care for up to 50 hours of care per child per week.

Families using registered care are eligible for CCB for up to 50 hours per child per week if they are working, training or studying at some time during the week or have an exemption. No minimum number of hours is required.

### **7.2.2 *Calculation of benefit amount***

#### **7.2.2.1 *Calculation of gross benefit***

Families with children in CCB approved child care services are eligible for CCB at a rate determined by their family income, the number of children in care, the amount of care they use, the reason they are using care and the type of child care they use. Families with children in registered care are eligible for CCB at the registered care rate only. CCB is paid at a standard hourly rate, not determined by fee charging practices. Non-school children are eligible for 100 per cent of the current CCB rate. School children are eligible for 85 per cent of the current (non-school) CCB rate.

Part-time loadings apply to CCB payments for family day care and long day care. For one child in part-time family day care a loading of 33.33 per cent applies up to 37.5 hours of care, and tapers progressively from 33.33 per cent to 0 per cent from 37.5 to 50 hours of care. For one child in long day care a 10 per cent loading applies up to 33 hours of care, and tapers progressively from 8 per cent to 0 per cent from 34 to 38 hours of care.

For the 2011-12 income year, the maximum rate of CCB for one non-school child in an approved centre based long day care service is AUD3.78 per hour. The rates for school children are set at 85 per cent of the non-school child rates. This equates to a maximum of AUD189.00 per week for a non-school child using up to 50 hours of care.

The rate of CCB for children in registered care is AUD0.632 per hour (up to AUD31.60 per week) for non-school children. The rates for school children are set at 85 per cent of the non-school child rates.

Child Care Benefit rates of payment are subject to annual indexation in July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index.

There are 3 methods for determining the MWB (1.1.M.27) for CCB. The method to use depends on the number of children in the type of care, and on whether the individual's ATI exceeds the upper income threshold (1.1.I.70).

### Method 1

The following table shows the amounts to use for method 1, where there are 2 or 3 children in care and the family's ATI is below the upper income threshold or the family is in receipt of an income support payment:

| Income year | MWB for 2 children                       | MWB for 3 children                       |
|-------------|------------------------------------------|------------------------------------------|
| 2011-12     | (Standard hourly rate x 100) + AUD 17.00 | (Standard hourly rate x 150) + AUD 49.42 |
| 2010-11     | (Standard hourly rate x 100) + AUD 16.55 | (Standard hourly rate x 150) + AUD 48.12 |
| 2009-10     | (Standard hourly rate x 100) + AUD 16.21 | (Standard hourly rate x 150) + AUD 47.13 |
| 2008-09     | (Standard hourly rate x 100) + AUD 15.63 | (Standard hourly rate x 150) + AUD 45.45 |
| 2007-08     | (Standard hourly rate x 100) + AUD 15.17 | (Standard hourly rate x 150) + AUD 44.13 |
| 2006-07     | (Standard hourly rate x 100) + AUD 13.35 | (Standard hourly rate x 150) + AUD 38.84 |
| 2005-06     | (Standard hourly rate x 100) + AUD 12.99 | (Standard hourly rate x 150) + AUD 37.78 |
| 2004-05     | (Standard hourly rate x 100) + AUD 12.66 | (Standard hourly rate x 150) + AUD 36.82 |
| 2003-04     | (Standard hourly rate x 100) + AUD 12.36 | (Standard hourly rate x 150) + AUD 35.96 |
| 2002-03     | (Standard hourly rate x 100) + AUD 12.00 | (Standard hourly rate x 150) + AUD 34.91 |
| 2001-02     | (Standard hourly rate x 100) + AUD 11.64 | (Standard hourly rate x 150) + AUD 33.86 |
| 2000-01     | (Standard hourly rate x 100) + AUD 11.00 | (Standard hourly rate x 150) + AUD 32.00 |

### Method 2

The following table shows the amounts to use for method 2 where there are 4 or more children in care and the family's ATI is below the upper income threshold or the family is in receipt of an income support payment:

| Income year | Step 1 action                            | Step 2 action                                                                                                 |
|-------------|------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| 2011-12     | (Standard hourly rate x 150) + AUD 49.42 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 49.42 ÷ 3) |
| 2010-11     | (Standard hourly rate x 150) + AUD 48.12 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 48.12 ÷ 3) |

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|         |                                          |                                                                                                               |
|---------|------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| 2009-10 | (Standard hourly rate x 150) + AUD 47.13 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 47.13 ÷ 3) |
| 2008-09 | (Standard hourly rate x 150) + AUD 45.45 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 45.45 ÷ 3) |
| 2007-08 | (Standard hourly rate x 150) + AUD 44.13 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 44.13 ÷ 3) |
| 2006-07 | (Standard hourly rate x 150) + AUD 38.84 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 38.84 ÷ 3) |
| 2005-06 | (Standard hourly rate x 150) + AUD 37.78 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 37.78 ÷ 3) |
| 2004-05 | (Standard hourly rate x 150) + AUD 36.82 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 36.82 ÷ 3) |
| 2003-04 | (Standard hourly rate x 150) + AUD 35.96 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 35.96 ÷ 3) |
| 2002-03 | (Standard hourly rate x 150) + AUD 34.91 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 34.91 ÷ 3) |
| 2001-02 | (Standard hourly rate x 150) + AUD 33.86 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 33.86 ÷ 3) |
| 2000-01 | (Standard hourly rate x 150) + AUD 32.00 | To the result from step 1, add, for each child after the third, (standard hourly rate x 50) + (AUD 32.00 ÷ 3) |

### Method 3

The following table shows the specific taper amount (1.1.S.95), used in method 3 where a family's ATI is above the upper income threshold, and there is more than one child in care:

| Income year | Specific taper amount |
|-------------|-----------------------|
| 2011-12     | AUD 152.52            |
| 2010-11     | AUD 148.44            |
| 2009-10     | AUD 145.40            |
| 2008-09     | AUD 140.31            |
| 2007-08     | AUD 136.31            |
| 2006-07     | AUD 132.05            |
| 2005-06     | AUD 128.50            |
| 2004-05     | AUD 125.33            |
| 2003-04     | AUD 122.30            |
| 2002-03     | AUD 118.81            |
| 2001-02     | AUD 115.30            |
| 2000-01     | AUD 109.04            |

#### 7.2.2.2 Income and earnings

CCB for approved child care is income tested on family income using the same measure of income that is used for FTB Part A, namely, family 'adjusted taxable income' (ATI). The CCB rate for CCB approved child care is gradually reduced as family income increases, to the point where families receive the zero rate of CCB. The taper rate applied varies according to the number of children in child care.

Families with yearly income below AUD39,785 per year, or those in receipt of an income support payment, receive the maximum rate of CCB. Families with income above the income limits do not receive

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any CCB. If CCB entitlement is zero due to income, families may still be eligible for CCR. CCB is not payable over the following income limits:

- AUD138,065 for a family with one child in approved child care.
- AUD143,095 for a family with two children in approved child care.
- AUD161,581 for a family with three children in approved child care, plus an additional AUD30,528 for each further child in approved child care.

CCB for registered care is only available at the registered care rate and as such is not means-tested.

The following table shows the taxable income taper percentage according to the number of children in care, for a given level of income.

| Number of children in approved care | Recipient's annual income            | Taxable income taper percentage |
|-------------------------------------|--------------------------------------|---------------------------------|
| 1                                   | Any amount                           | 10 per cent                     |
| 2 or more                           | Less than the upper income threshold | 15 per cent                     |
| 2                                   | More than the upper income threshold | 25 per cent                     |
| 3                                   | More than the upper income threshold | 35 per cent                     |

### ***Income thresholds***

The following table shows the income thresholds (1.1.I.70) for CCB, in AUD:

| Income year | One child - income threshold | More than one child - lower income threshold | More than one child - upper income threshold |
|-------------|------------------------------|----------------------------------------------|----------------------------------------------|
| 2011-12     | 39 785                       | 39 785                                       | 92 658                                       |
| 2010-11     | 38 763                       | 38 763                                       | 90 222                                       |
| 2009-10     | 37 960                       | 37 960                                       | 88 366                                       |
| 2008-09     | 36 573                       | 36 573                                       | 85 213                                       |
| 2007-08     | 35 478                       | 35 478                                       | 82 731                                       |
| 2006-07     | 34 310                       | 34 310                                       | 80 088                                       |
| 2005-06     | 33 361                       | 33 361                                       | 77 907                                       |
| 2004-05     | 32 485                       | 32 485                                       | 75 933                                       |
| 2003-04     | 31 755                       | 31 755                                       | 74 153                                       |
| 2002-03     | 30 806                       | 30 806                                       | 71 993                                       |
| 2001-02     | 29 857                       | 29 857                                       | 69 828                                       |

Child Care Benefit income thresholds are subject to annual indexation in July each year to reflect increases in the CPI.

### ***7.2.3 Tax treatment of benefit and interaction with other benefits***

CCB is not taxable. CCB is taken into account when assessing entitlement for CCR. See Section 7.3 below.

#### 7.2.4 *Treatment of particular groups*

### 7.3 ***Child Care Rebate***

On 1 July 2009, the Child Care Tax Rebate was renamed the Child Care Rebate (CCR) in recognition that the rebate is no longer a tax offset under the taxation legislation but is paid to families under the Family Assistance Law by the Department of Human Services.

If a claimant meets CCB eligibility conditions, they may be entitled to receive the CCR even if they are only eligible for a CCB rate of zero. Under the CCR, parents using CCB approved care for work related purposes or who have an exemption can claim 50 per cent of their 'out-of-pocket' (after CCB is deducted) costs for child care up to an annual cap per child per year. Eligible families may choose to receive the Child Care Rebate on a fortnightly (sometimes weekly) basis, paid either to a child care service as a fee reduction or directly to their bank account. Alternatively, they can choose to receive the Child Care Rebate quarterly or annually as a lump sum paid by the Department of Human Services.

#### 7.3.1 *Conditions for receipt*

Parents receiving CCB at a rate of zero or more for approved care for work related purposes or who have an exemption may claim the CCR.

#### 7.3.2 *Calculation of benefit amount*

The annual cap for CCR payable for expenses incurred in 2011 - 12 is AUD7500 per child per year.

Reference date for all information is **June 30th 2012**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

## **8. Employment-conditional benefits**

N/A

**8.1**      *Conditions for receipt*

**8.2**      *Calculation of benefit amount*

8.2.1      *Calculation of gross benefit*

**8.3**      *Tax treatment of benefit and interaction with other benefits*

**8.4**      *Benefit duration*

**8.5**      *Treatment of particular group*

8.5.1      *Young persons*

8.5.2      *Older workers*

8.5.3      *Others if applicable*

## **Lone-parent benefits**

### **9.1 Conditions for receipt**

As outlined in Section 3, Parenting Payment (PP) is an income support payment available to single parents or one member of a couple with the care of a dependent child (a) under 8 years of age in the case of a single parent and (b) under 6 years of age in the case of a couple. Exceptions apply for recipients of PP prior to 1 July 2006; this 'grandfathered' group can continue to receive payment as long as they remain qualified until their youngest child is under 16 years of age. A child can only be the 'PP child' of one person. There are two different categories – PP (Single) for single parents and PP (Partnered) for a parent who is a member of a couple.

- To be eligible for PP (Single), a claimant must have been resident in Australia for at least two years or have become a single parent whilst resident in Australia. PP (Single) is a non-activity tested payment for new (i.e. post 30 June 2006) recipients whose youngest 'PP child' is under 6 years of age, and an activity tested payment for those recipients whose youngest 'PP child' is 6 years of age or older, but under 8 years of age (as outlined in Section 3.1). PP is subject to an asset test as outlined in Section 3.1.
- Activity testing involves the creation of an Employment Pathway Plan, which may include the following:
  - Looking for or engaging in employment of at least 30 hours a fortnight.
  - Participating in training or employment services such as Job Services Australia.
  - Meeting Work Experience Activity requirements such as Work for the Dole.

### **9.2 Calculation of benefit amount**

#### **9.2.1 Calculation of gross benefit**

The maximum rate of PP (Single) is AUD648.50 per fortnight, plus Pharmaceutical Allowance of AUD6.20 per fortnight. The rate is indexed to changes in the broad cost of living as measured by the Consumer Price Index in March and September each year and is also benchmarked to 25 per cent of male total average weekly earnings; since July 2000 it has included an additional supplement that is indexed to changes in the CPI, which is currently AUD21.00. Recipients are also entitled to the maximum rate of Family Tax Benefit Part A (unless the rate is reduced by the maintenance income test) and Family Tax Benefit Part B.

##### **9.2.1.1 Irregular additional payments**

- As outlined in section 3.2.1.1
- Pensioner Education Supplement
- Education Entry Payment
- Language Literacy and Numeracy Supplement
- Training Supplement
- Approved Program of Work Supplement
- National Green Jobs Corp Supplement
- Mobility Allowance

### 9.2.2 *Income and earnings disregards*

PP (Single) has an income free area of AUD174.60 per fortnight plus AUD24.60 for each dependent child after the first. Income above the free area reduces payment at the rate of 40 cents for each AUD. A single parent with one child is entitled to a part payment if their income is below AUD1795.85 a fortnight plus AUD24.60 for each additional child.

The rate of PP (Single) may also be affected by the Working Credit scheme that operates as outlined in Section 3.2.

The income free area, excluding the additional amount for each dependent child, is indexed in July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index.

### 9.3 *Tax treatment of benefit and interaction with other benefits*

Parenting Payment is assessable income for tax purposes. The pensioner tax offset ensures that a year-long recipient with other assessable income below the income free area of AUD174.60 per fortnight pays no tax.

### 9.4 *Benefit duration*

There are no restrictions on the duration of payment.

## 10. Tax system

As the Australian income tax year commences on 1 July, the following relates to the 2011-12 income tax year.

### 10.1 Income tax

#### 10.1.1 Tax allowances and credits

Basic reliefs: Taxable income earned up to AUD6000 per year by resident taxpayers is subject to tax at a zero rate.

Standard marital status relief: A taxpayer may claim a tax credit where he or she contributes to the maintenance of a dependent spouse (legal or de facto). From 1 July 2011, eligibility for the dependent spouse tax offset is confined to taxpayers with a dependent spouse born before 1 July 1971 or who is permanently unable to work due to disability or significant caring responsibilities for an aged or disabled person. For eligible families, during 2011-12, this credit amount was AUD 2 355 for a dependent spouse without dependent children. The credit reduces by AUD 1 for every AUD 4 by which the spouse's adjusted taxable income exceeds AUD 282. From 1 July 2008, an income test was introduced so that the offset is not available where the primary earner's adjusted taxable income exceeds AUD 150 000.

Relief for low income earners: A tax credit of AUD1500 is available for taxpayers whose taxable income was less than AUD30,000 per year. This credit is reduced by 4 cents for every AUD1 dollar by which the taxpayer's taxable income exceeds AUD30,000 per year, and no tax credit is available once the taxpayer's taxable income equals AUD67,500 per year.

The beneficiary tax offset is generally available to recipients of taxable income support payments that are classified as 'social security benefits'. The benefits included are Newstart Allowance, Parenting Payment (Partnered), Youth Allowance, Widow Allowance, Mature Age Allowance, Partner Allowance, Sickness Allowance, Special Benefit and Austudy Payment. The tax offset is calculated using the following formula:

- If the person's benefit amount is not more than AUD37,000 per year:

*Beneficiary tax offset = (lowest marginal tax rate, which is 0.15) x (amount of benefit or allowance received per year – tax free threshold, which is AUD6000 per year)*

- If the person's benefit amount is more than AUD37,000 per year:

*Beneficiary tax offset = (the same formula as above) + 0.15 x (amount of benefit or allowance received per year – AUD37,000 per year).*

If the amount of benefit or allowance received in the income tax year is less than the tax free threshold then no beneficiary tax offset is available.

The pensioner tax offset is available to people who receive taxable Australian Government pensions who are not eligible to receive the Senior Australian tax offset (see below) because they have not met the eligibility conditions for the Senior Australian tax offset (for example, they have not reached Age Pension age within the meaning of the *Social Security Act 1991*). Parenting Payment (Single) recipients are typically eligible to claim the pensioner tax offset.

**Pensioner tax offset (generally for pensioners under Age Pension age)**

AUD per year

|                                 | Maximum tax offset amount | Shade-out threshold <sup>a</sup> | Cut-out threshold <sup>b</sup> |
|---------------------------------|---------------------------|----------------------------------|--------------------------------|
| Single                          | 2 859                     | 25 060                           | 47 932                         |
| Couple                          |                           |                                  |                                |
| General (each)                  | 2 005                     | 19 367                           | 35 407                         |
| Separated due to illness (each) | 2 705                     | 24 034                           | 45 674                         |

- The shade-out threshold is the maximum taxable income at which pensioners eligible for the pensioner tax offset will receive the maximum tax offset amount. The tax offset reduces by 12.5 cents for each dollar of taxable income in excess of the shade-out threshold. The pensioner tax offset shade-out threshold does not allow for the low-income tax offset.
- The cut-out threshold is the level of taxable income where the pensioner tax offset is reduced to nil.
- Any unused portion of the pensioner tax offset of a partnered pensioner can be transferred to his or her partner if they are eligible for the pensioner tax offset or Senior Australian tax offset. A higher level of offset is available to pensioner couples separated due to illness.

The Senior Australian tax offset is available to taxpayers who, at 30 June in a financial year, are of Australian Age Pension age, were notionally or actually eligible for an Australian Age Pension or similar payment, have taxable income for the relevant financial year less than the applicable cut-out threshold (see below) and were not in gaol for the whole of the financial year.

**Senior Australian tax offset (generally for taxpayers who've reached Age Pension age)**

AUD per year

|                                 | Maximum tax offset amount | Shade-out threshold <sup>a</sup> | Cut-out threshold <sup>b</sup> |
|---------------------------------|---------------------------|----------------------------------|--------------------------------|
| Single                          | 2 230                     | 30 685                           | 48 525                         |
| Couple <sup>c</sup>             |                           |                                  |                                |
| General (each)                  | 1 602                     | 26 680                           | 39 496                         |
| Separated due to illness (each) | 2 040                     | 29 600                           | 45 920                         |

- The shade-out threshold is the maximum taxable income at which Senior Australians eligible for the Senior Australian tax offset will receive the maximum tax offset amount. The tax offset reduces by 12.5 cents for each dollar of taxable income in excess of the shade-out threshold.
- The cut-out threshold is the level of taxable income of a single person or a couple where the Senior Australian tax offset is reduced to nil.
- Any unused portion of the Senior Australian tax offset of a partnered recipient can be transferred to his or her partner if they are eligible for the pensioner tax offset or Senior Australian tax offset. A higher level of offset is available to senior or senior/pensioner couples separated due to illness.

The mature age worker tax offset is available to eligible taxpayers aged 55 years and over, who have income from working in 2004-05 and subsequent years. For the 2011 - 12 year, where net income from working is below AUD10,000, the tax credit tapers in at a rate of 5 cents for every AUD1 earned. The maximum tax credit of AUD500.00 per year is available where net income from working is between AUD10,000 and AUD53,000 per year. Where net income from working is in excess of AUD53,000 per year, the tax credit is reduced by AUD5 cents for each additional AUD earned, so that no tax credit is available where net income from working exceeds AUD63,000 per year.

The Government announced that it would replace the Education Tax Refund with a direct transfer payment known as the Schoolkids Bonus from 1 July 2012. As part of the transition, each eligible family received a payment in June 2012 equivalent to the maximum ETR entitlement - AUD409.00 for each primary school student and AUD818.00 for each secondary student.

10.1.1.1 Standard allowances

### 10.1.1.2 Standard tax credits

### 10.1.2 *Income tax schedule (central government income tax)*

#### General rates of tax - resident individuals

| Taxable income per year (AUD) |               | Tax at general rates on yearly total taxable income                      |
|-------------------------------|---------------|--------------------------------------------------------------------------|
| Not less than                 | Not more than |                                                                          |
| 0                             | 6 000         | NIL                                                                      |
| 6 001                         | 37 000        | NIL + 15c for each AUD in excess of AUD 6 000 per year                   |
| 37 001                        | 80 000        | AUD 4 650 per year + 30c for each AUD in excess of AUD 37 000 per year   |
| 80 001                        | 180 000       | AUD 17 550 per year + 37c for each AUD in excess of AUD 80 000 per year  |
| 180 001 and over              |               | AUD 54 550 per year + 45c for each AUD in excess of AUD 180 000 per year |

To contribute towards the cost of basic medical and hospital care a Medicare Levy is imposed on the taxable incomes of resident taxpayers. In 2010-11 the levy applies at the rate of 1.5 per cent of the taxable income of an individual.

Certain thresholds are applied before the levy is imposed. In 2011-12, an individual taxpayer does not pay the levy where their taxable income does not exceed AUD19,404. A taxpayer in a couple or sole parent family does not pay the levy if the taxable family income does not exceed AUD32,743. The threshold is increased by AUD3007 for each dependent child. Where an individual's taxable income exceeds AUD19,404, (but does not exceed AUD22,828) or a family's income exceeds AUD32,743 (plus AUD3007 for each dependent child), the levy shades in at a rate of 10 per cent of the excess of taxable income over the threshold, until the levy is equal to 1.5 per cent of the family's taxable income.

For 2011-12 individual pensioners under Age Pension age do not pay the levy where their taxable income does not exceed AUD30,451. Where taxable income exceeds AUD30,451 but does not exceed AUD35,824 shading in provisions apply under which the levy payable is 10 per cent of the excess of taxable income over AUD30,451.

High income taxpayers without adequate private health care cover face a Medicare levy surcharge of 1 per cent of income. This is typically not imposed as the cost of such cover is generally less than the surcharge. It is not included in this publication.

For the 2011-12 income year alone, the Government introduced a temporary flood and cyclone reconstruction levy to assist with the cost of helping communities affected by the natural disasters and rebuilding essential infrastructure. The levy is only imposed on taxpayers whose taxable incomes exceed AUD 50 000, and who have not been directly affected by the floods and cyclones. The temporary flood and reconstruction levy applies at the rate of five cents in every ten dollars of income over AUD 50,000 and ten cents in every ten dollars of income over AUD 100,000.

### 10.1.3 *State and local income taxes*

In Australia, no states or territories levy a tax based on a resident's income.

## 10.2 *Treatment of family income*

## 10.3 *Social security contributions and payroll taxes*

Part of Australia's retirement income system is the provision of compulsory employer contributions (the Superannuation Guarantee system). The Superannuation Guarantee requires employers

to pay 9 per cent on top of employees' gross ordinary time earnings to an approved superannuation fund, provided they earn more than AUD450.00 per month. However, they may choose to make contributions for workers earning less than this threshold. This threshold is not indexed. The 9% will progressively increase each year starting with 9.25% for the 2013-14 tax year up to 12% by the 2019-20 tax year. There is also a limit to the Guarantee. In each quarter any earnings beyond a threshold are not covered by the Superannuation Guarantee. This threshold is indexed to a measure of average earnings. In the 2011-12 tax year this threshold was AUD43,820 per quarter. These contributions are not reflected in the 'Tax-Benefits' calculations because they are not a form of taxation (they are not an unrequited transfer to general government). There is also a Medicare levy which is based upon taxable income (see Section 10.1.2).

### **10.3.3**      *Payroll taxes*

Australian State Governments levy pay-roll taxes on wages, cash or in kind, provided by larger employers to their employees. The rates of pay-roll tax, thresholds and deductions differ across States. In New South Wales, the State with the largest population, the pay-roll tax rate was 5.5 per cent from 1 July 2010 to 31 December 2010 and 5.45 per cent from 1 January 2011 to 30 June 2011 for employers with total Australian wages in excess of AUD658,000 in 2010. The employer is entitled to an exemption from tax, or a pro-rated pay-roll tax threshold, on wages paid in New South Wales up to a maximum of AUD658,000. The exempt amount is reduced based on the proportion of the employer's New South Wales pay-roll to total Australian pay-roll.

Pay-roll tax revenue is not used to fund social security payment. It forms part of the consolidated revenue of State Governments, which do not deliver social security.

## **10.4**      *Treatment of particular group*

### **10.4.1**      *Young persons*

There is no special tax treatment for young persons

### **10.4.2**      *Older workers*

A mature age workers tax offset is available (see Section 10.1.1).

## **11. Part-time work**

All income support recipients are able to engage in part-time work while receiving payment, subject to the operation of the relevant payment's income tests (see Sections 3.2.2, 4 and 9.2.2). While a person in full-time paid work is not eligible to receive unemployment payments, a person in full-time work is not excluded from all income support payments. For example, a part-rate of Parenting Payment (Single) may be paid to a single parent with one child if yearly income is below AUD1795.85 per fortnight.

The Working Credit scheme can also help working-age income support recipients keep more of their payment when taking up work (see Section 3.2.2).

### **11.1 *Special benefit rules for part-time work***

There are no benefit rules relating to part-time work.

### **11.2 *Special tax and social security contribution rules for part-time work***

There are no special tax or social security contribution rules for part-time work.

## **12. Policy developments**

### **12.1 *Policy changes introduced: 1 July 2011 – 30 June 2012***

Following recommendations from the 2010 Review of Australian Higher Education, the following changes to student payments (including YA (student), Austudy and ABSTUDY) have been implemented:

- On 1 January 2012 the parental income test threshold for maximum payment of Youth Allowance increased from AUD45,114 to AUD46,355.
- On 1 January 2012 the age of independence for YA(student) and ABSTUDY purposes was lowered to 22 years. On 1 July 2012 the personal income test threshold was raised from AUD236.00 to AUD400.00 per fortnight (indexed annually) so that students receiving student payments are able to earn up to AUD400.00 per fortnight before their payments are reduced.
- From 1 July 2012 the Student Income Bank increased from AUD6000 to AUD10,000 (indexed annually).

#### **Baby Bonus – First instalment increase**

Instead of being paid in 13 equal instalments, from 1 July 2011 the first instalment of Baby Bonus was increased to around AUD880 to recognise the up-front costs associated with the birth or adoption of a child. The remaining 12 instalments were adjusted to around AUD380.00.

#### **Clean Energy Future Legislation – household assistance and tax reform**

The Government's Clean Energy Future Legislation passed the Senate in November 2011, which includes an assistance package to help households with the expected modest price impacts from the introduction of carbon pricing on 1 July 2012.

Increases in family payments, pensions and allowances commenced with lump sum advance payments of a new Clean Energy Supplement in May and June 2012. The Supplement will be included in regular payments from 1 July 2013.

In addition, tax reforms delivered as part of the package see the tax-free threshold rise from AUD6000 to AUD18,200 from 1 July 2012, and then to AUD19,400 from 1 July 2015. This will mean over a million people will no longer need to lodge a tax return.

Assistance will also be delivered to single income, middle income families through the Single Income Family Supplement in recognition that those families will benefit from tax cuts in respect of only one primary earner in the family. The package is worth up to AUD300.00 per year to qualifying families where the main income earner has taxable income between AUD68,000 and AUD150,000 and the secondary earner income is less than AUD18,000.

#### **Supporting Families with Teenagers**

From 1 January 2012 changes were made to FTB and Youth Allowance under the Supporting Families with Teenagers measure.

FTB Part A increased for dependent 16 to 19 year olds who are undertaking full-time secondary study. The maximum rate was AUD214.06. In addition, families could also be eligible for Rent Assistance, Large Family Supplement, Multiple Birth Allowance and FTB Part B.

Reference date for all information is **June 30th 2012**

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These changes reflect the extra costs of raising teenagers, and encourage young people to stay in school by providing more support for their family while they are in secondary study. From 1 January 2012 young persons aged 16 and 17 years old who are dependent, living at home and still in full-time secondary study are generally not able to receive Youth Allowance.

### **More flexible advance payments**

From 1 July 2011 families have had access to more flexible advance payments of Family Tax Benefit Part A. This means families facing unexpected costs will have quick and easy access to advance payments and will not have to resort to high-interest loans or credit cards.

Families are able to advance a maximum of 7.5 per cent of their total rate of FTB Part A payment, up to AUD1000. Families will be assessed to ensure they are able to repay the advance without falling into financial hardship.

### **Healthy Start for School**

From 1 July 2011 the Healthy Start for School initiative commenced to help ensure that children are healthy, fit and ready to learn when they start school. If a parent or their partner receives FTB Part A, and an income support payment at any time during the financial year in which their child turns four, the child is required to undergo a relevant health check. If the health check is not completed, part or all of the end-of-financial-year FTB Part A Supplement for the child will be withheld until the health check is completed.

### **Paid Parental Leave: Dad and Partner Pay**

Dad and Partner Pay will be a new dedicated payment for fathers and partners under the Australian Government's national Paid Parental Leave Scheme. The new payment will be available to eligible working fathers and partners who share the role of caring for a child born or adopted from 1 January 2012.

Eligible working fathers and partners will be able to receive two weeks Dad and Partner Pay at the rate of the National Minimum Wage, the same weekly rate as Parental Leave Pay.

### **Strengthening Immunisation for children**

The Australian Government is aiming to increase the immunisation rates of Australian children over time through reforms to Australia's childhood immunisation arrangements.

From 1 July 2012, families need to have their children immunised in the year the child turns one, two or five in order to receive the Family Tax Benefit Part A end-of-financial-year supplement which is worth AUD726.35 per child.

These arrangements replace the Maternity Immunisation Allowance (MIA) which ceased on 1 July 2012. MIA provided a payment of AUD258.00 (paid in two instalments) for families who meet immunisation requirements when their child was between 18 months and 24 months of age and between four and five years of age.

## **Schoolkids Bonus**

The Schoolkids Bonus replaces the Education Tax Refund that was administered by the Australian Taxation Office. The Schoolkids Bonus will provide assistance to individuals and families with children in primary and secondary study from 1 January 2013. To be eligible for the payment, an individual must have a child in primary or secondary school and receiving FTB Part A or certain income support or veterans' education payments. An individual may also receive the payment for themselves if they are aged up to 19, receiving a qualifying payment and undertaking studies. The payment will provide families with AUD410.00 per year for each child in primary study and AUD820.00 per year for each child in secondary study. It will be paid automatically to eligible individuals in two equal instalments (AUD205.00 for primary students and AUD410.00 for secondary students) in January and July each year.

## **Zero Entitlement to FTB Measure**

This measure was announced as part of the 2011-12 Mid-Year Economic and Fiscal Outlook with the purpose of limiting access to FTB paid by instalments to families who are often found not to have any entitlement to the payment at the end of the year due to underestimation of their income.

Families affected by the measure are those who have:

- advised an income estimate that resulted in an FTB Part A and/or FTB Part B (primary earner income estimate only) payment for two consecutive years; and
- have been found to have a nil entitlement to FTB Part A and/or Part B in both those income years due to underestimation.

The measure will help to prevent such families from accessing FTB Part A (and the ancillary benefits linked to FTB Part A), or FTB Part B during the financial year, with payment made only at the end of the entitlement year when actual income is known

## **Disability Support Payment (DSP)**

Changes to DSP assessments were introduced from 3 September 2011 that focus on a person's potential to work or return to the workforce with appropriate capacity building and rehabilitation. The new requirement means claimants who do not have a severe impairment now need to provide sufficient evidence that they are unable to work independently, even after receiving assistance for an appropriate program of support.

Revised Tables for the Assessment of Work-related Impairment for DSP were introduced 1 January 2012. The revised tables ensure that people applying for the DSP are assessed based on what they can do and not what they cannot do.

Much work was undertaken during 2012, so that from 1 July 2012, there will be additional support to encourage DSP recipients to build their capacity and encourage and support workforce participation amongst those with some capacity to work.

## **Carer Allowance (CA)**

Changes to CA(child) were introduced in September 2011 to extend automatic eligibility for Carer Allowance (child) for carers of children with Type 1 Diabetes aged between 10 and 16 years.

## **Superannuation**

The Government announced a number of major reforms to the superannuation system in 2010, many of which did not come into effect until 1 July 2012 or later. These included MySuper (a new, low cost, default superannuation product) and SuperStream (a set of data and e-commerce standards which will make the processing of transactions easier, cheaper and faster). The reforms also include:

- an increase in the superannuation guarantee rate from 9 to 12 per cent, phased in from 1 July 2013 to 1 July 2019;
- a low income superannuation contribution, of up to AUD500.00 annually for workers with an adjusted taxable income of up to AUD37,000, from 1 July 2012;
- a higher concessional contributions cap of AUD50,000 for workers aged 50 and over with superannuation balances below AUD500,000 (from 1 July 2014);
- the abolition of the maximum superannuation guarantee age limit, from 1 July 2013; and
- a number of measures designed to ensure that employers make the superannuation contributions which they are required to.

## **Personal Income Tax System**

The Government announced a number of reforms to the personal income tax system to commence from 1 July 2012:

- An increase of the tax free threshold from AUD6000 to AUD18,200.
- A reduction of the low income tax offset from AUD1500 to AUD445.00, and an increase in the withdrawal threshold from AUD30,000 to AUD37,000.
- An increase to the first and second marginal tax rates — from 15 per cent and 30 per cent to 19 per cent and 32.5 per cent respectively.
- Combining the pensioner tax offset and senior Australians tax offset into the new seniors and pensioners tax offset.
- Further targeting of the dependency offsets, including the dependent spouse tax offset.
- Phasing out the mature age worker tax offset.
- Means testing the employment termination payment tax offset.
- Means testing the net medical expenses tax offset.
- Increasing the Medicare levy surcharge for higher income earners without private health insurance.
- Replacing the Education Tax Refund with the Schoolkids Bonus.

### **12.2 *Future policy changes announced since 30 June 2012.***

The following policy changes relating to student payments were announced as part of the 2012-13 Mid-Year Economic and Fiscal Outlook (MYEFO):

- The Student Start-up Scholarship will be maintained at the 2012 rate of AUD2050 annually (two payments of AUD1025) with no indexation until 2017.

Reference date for all information is **June 30th 2012**

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- The extension of YA (student) and Austudy eligibility to all Masters by coursework students will be delayed by three years, until 1 January 2017.
- From 1 January 2014, the Government will introduce a general interest charge on student income support debt.

#### **Baby Bonus – Rate Reset**

- For babies born or adopted on or from 1 September 2012, the Baby Bonus rate will be reset to AUD5000. The Baby Bonus will continue to be paid in 13 fortnightly instalments, with the first instalment being around AUD846.00 and the balance being paid in 12 fortnightly instalments of around AUD346.00.

#### **Baby Bonus – Reduce the rate for second and subsequent children**

- The rate of Baby Bonus will reduce from AUD5000 to AUD3000 for second and subsequent children born or entrusted to the care of the adopting or foster parents on or after 1 July 2013. Baby Bonus for first children and children born as part of a multiple birth will continue to be paid at the rate of AUD5000. From 1 July 2012 indexation (in line with the consumer price index) will not be applied to the Baby Bonus payment rate. Indexation will resume from 1 July 2015.

#### **Family Tax Benefit Part A – Changes to age of eligibility**

- From 1 January 2013, FTB Part A will be focused on supporting families with young children at school. Under this change, young people aged 18 or over will no longer have access to FTB Part A unless they are in full time secondary study.
- This policy change ensures family assistance continues to be the primary form of government support for children until they finish their final year of secondary education. This policy aligns with the Australia's Future Tax System Review recommendation that 'family payments should be the main form of assistance for families up to the end of the secondary school or the school year in which they turn 18'.

#### **Increasing the rate of Family Tax Benefit Part A**

- All FTB Part A families will receive an increase of up to AUD600.00 a year from 1 July 2013, depending on their family income, the number of children and the age of their children.

## ANNEX

### DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

#### **Social security contributions to general government**

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

#### **Social security contributions paid to institutions outside general government**

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasi-compulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

#### **Payroll taxes**

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.